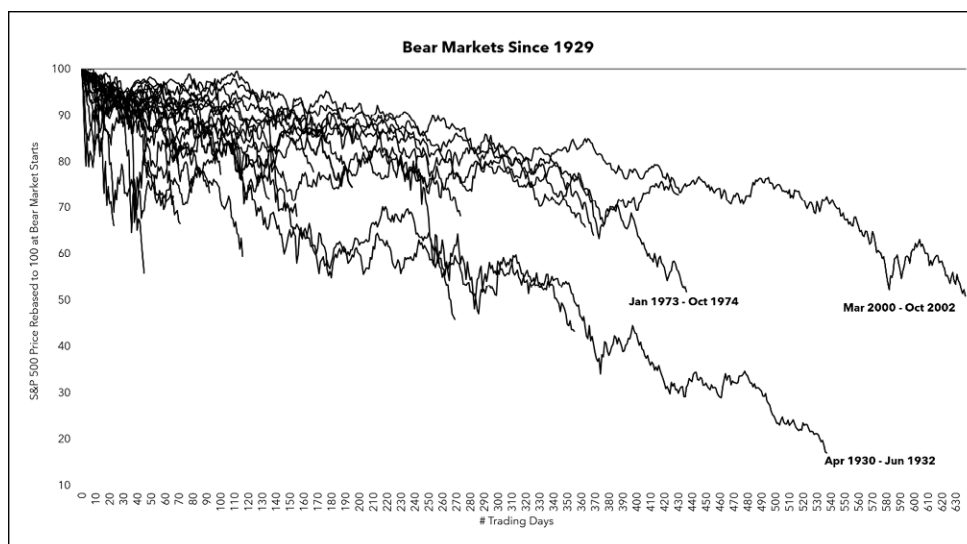


How Many Bear Markets Have You Lived Through?

THIS IS ONE of my favorite charts, but for reasons that might not be readily apparent at first glance.



The chart shows the peak-to-trough declines of all the bear markets with the popular definition of a 20% decline, measured up until the start of the first 20% rally.^{[214](#)} The move from 2022 highs is shown in **bold**.

My colleague Michael Batnick^{[215](#)} likes to point out that all of these horrendous periods of market pain are already factored into long-term returns of equities. Meaning, you do not get the 8–10% long-term gains without living through a significant number of market events, ranging from cyclical drawdowns to longer secular bears to full-on market crashes. It is all part of the dynamics of risk markets, where we obtain our returns in exchange for tolerating that risk.

“If you want to be there for the good times, you must also suffer through the bad times.”

This led me to an insight from my own experiences: